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MANAGEMENT DISCUSSION SECTION

John Kreger
Analyst, William Blair & Co. LLC

All right. Good afternoon, everyone, and welcome back to the William Blair Growth Stock Conference. Our next session is Zoetis. I'm John Kreger, the analyst that covers Zoetis at Blair. Just a quick bit of housekeeping, if you want to check out our conflicts or other disclosures, please see our website at williamblair.com.

With us today from Zoetis is Glenn David. Glenn, thanks for joining us.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Great to be here. Thank you.

John Kreger
Analyst, William Blair & Co. LLC

Most of you know Glenn from his extended time as the company's CFO. But he's, I think what, day two into a new role.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Yes.

John Kreger
Analyst, William Blair & Co. LLC

Congrats on that.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Thank you.

John Kreger
Analyst, William Blair & Co. LLC

So, we'll spend the next 30 minutes in a fireside chat format. Anyone that's listening, if you've got a specific question that you want to ask, just please put it in the chat and I will do my best to work it in.

QUESTION AND ANSWER SECTION

John Kreger
Analyst, William Blair & Co. LLC

Q

So, let's get started. Glenn, I think let's just hit that one that I just mentioned: new role. Again, congrats. Can you bring us up to date on: A, what your new role will be; and if you're contemplating any sort of structural differences as Wetteny steps into your old role in the CFO seat?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. No. Thanks, John. As you mentioned, it's my second day on the job and really excited to be stepping into the new role. So, in the new role, I'll have responsibility for our international operations as well as our PHARMAQ business, our BioDevice business and our Pumpkin Insurance business.

And the one thing structurally that's changed a little bit in the international operations is I have a direct responsibility for China and Brazil, with the general managers for those markets reporting directly to me. And we'll have an international president as well that's responsible for the rest of the international markets so really excited to be stepping into this role right now.

We have significant growth drivers internationally. As we've talked about, China is growing incredibly rapidly for us with plus 75% growth in the first quarter. Brazil also growing very rapidly with 48% growth. And both of those markets, I think many people initially think of those markets as livestock markets, but they're also both very strong from a companion animal perspective and growing very rapidly in companion animal as well.

And then, across the rest of the international markets, a lot of strong growth drivers moving ahead with the recent launches of our monoclonal antibodies for pain, Librela and Solensia in the EU, continued growth from our Simparica franchise, our dermatology franchise, as well as our diagnostic portfolio. So, really excited about the opportunities internationally.

And then, the other areas as well, PHARMAQ, our aquaculture business with fish being one of the fastest-growing species and we expect that to continue for a number of years as well as the other areas of insurance and biodevices as well. So, really excited to be stepping into the new role.

And also very excited to welcome Wetteny to Zoetis, very excited to have him joining the organization and I'll be working closely with Wetteny to ensure a seamless transition. And I think he'll bring great external views and insights with his experience as a public company CFO, a very successful company as well. So really excited to having Wetteny join.

John Kreger
Analyst, William Blair & Co. LLC

Q

Yeah. We know him well from his days at Catalent.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yes.

John Kreger
Analyst, William Blair & Co. LLC

Q

Great addition for you guys. Okay. I wanted to hit the JBS hack a little bit. I remember in the early days of Zoetis as an independent company, when you get these extraneous events, it would really spook people. So, can you maybe just step back and tell us what, if any, impact a supply chain shock like this has on your business?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. So, obviously, JBS is an important and valued customer, but we don't expect any material impact to our business from this hack. Obviously, we expect them to recover relatively quickly. And also, as we've always emphasized, the diversity of our business from a species perspective, from a geographic perspective but also from a customer perspective really allows us to absorb any short-term impact in one particular area and make it up in another as the demand and need for protein will continue. But again, we don't expect a material impact at all from this hack.

John Kreger
Analyst, William Blair & Co. LLC

Q

Okay. Great. And maybe more generally, again thinking back to the early days of the pandemic, there were sort of meat packing throughput issues that impacted the livestock part of your business. Are those totally behind you at this point or are there still some lingering effects that you're seeing?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. So, there were two impacts that we saw initially to our livestock business from COVID-19. One was related to what you're referencing in terms of the shutdown of some plants as workers may be coming down with COVID and some of the safety protocols that were adjusted for that. That, we believe, obviously the livestock producers have recovered well from and are operating virtually at full capacity. So we do believe that that is behind us.

The other impact was related to the transition from servicing food services, so cafeterias, restaurants to serving grocery stores, which created more of a short-term impact as well. And they recovered in terms of the adoption of their producing methods to accommodate grocery store cuts and things of that nature. That will continue as things open and food services becomes a bigger portion of the businesses again. So we're still working through that, but our customers overall have adapted very well.

John Kreger
Analyst, William Blair & Co. LLC

Q

Great. Okay. Let's turn back to Librela and Solensia again in your new role. Can you remind us where those two products are in terms of where they've been launched and any sort of early feedback on how it's going?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.
A

Yeah. So, we begun the early experience program for Librela in Q1 and with a full market launch in Q2. And the feedback from the early experience program has been very positive with both pet owners and the pet seeing a significant improvement in the quality of their lives. And also, the feedback from veterinary professionals has also been very positive. And the feedback really gives us even greater confidence in the ability of these products to reach blockbuster status, which in animal health is over $100 million.

Solensia, we're beginning an early experience program in the EU and then expect a full launch in a couple of months after that. But again, the initial response has been very positive, but a little earlier on in the early experience program there in the EU.

As we mentioned on the Q1 call in terms of – I know there's a lot of interest in US approval. We do expect US approval for these products in 2022 with Librela probably coming more in the second half of the year and very excited about the potential for these products globally and the new treatment option they'll be bringing to pain for osteoarthritis, particularly in dogs, but also really serving an completely unmet medical need in cats as well.

John Kreger
Analyst, William Blair & Co. LLC
Q

Great. When you think about these two products five years from now, which one feels bigger and more impactful to you: Librela, given you're serving – it's a larger animal; or Solensia, given that there aren't as many therapeutic alternatives for cats?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.
A

So they're both very exciting opportunities. To your point, Librela is coming into an established market for dogs, which is about $400 million globally. However, that is served by much older technology in terms of NSAIDs and products like that. And we do think there's a significant opportunity to expand that market.

So while it's an established market, by raising the standard of care, we're also going to price the products at obviously a significant premium to the NSAIDs, but also to up the branded competition, such as RIMADYL. We will price these products at a premium so that will drive additional market growth. And then also just raising awareness around the disease state with the potential that these products have, we will invest behind raising that awareness as well. So, we think there's significant opportunity to take share in that existing market, but equally or even more importantly, to grow the market significantly for dogs.

And then for cats, while it is a market that really no treatment option exists today, when you query veterinarians in terms of some of the biggest unmet needs in animal health, pain for cats is one of those biggest unmet needs. And we do think that Solensia will gain significant traction and again also be a blockbuster product in animal health. So they're both very exciting. While Librela will have competition, we think we are bringing new, safe and effective medicine and innovation to the marketplace. And Solensia will be more focused on building a market where there is limited competition today.

John Kreger
Analyst, William Blair & Co. LLC
Q

Okay. And then one last one on these, what's the timing of the global rollout? You mentioned China, Brazil. Are there other key regions for you beyond the US and EU?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. So we'll expect to get additional approvals in the coming years. We currently have approval in the EU for Librela and Solensia. We have approval for Librela in Canada and Brazil. And we'll expect to get approval in additional markets in the coming months and years. As we typically do, there's different regulatory time frames across many markets. But we will look to roll out in other markets as those approvals come. And based on that and the global nature of these products, we do see significant potential for these products moving forward.

John Kreger
Analyst, William Blair & Co. LLC

Q

Great. Okay. Let's pivot to the companion animal market and sort of macro demand trends that you're seeing. So I think on the last call or two, you guys have talked about kind of the elevated pet spending you've seen since the onset of the pandemic. Now that we're lapping it, what are you seeing? Do you expect that spending level to continue or kind of come back down to a more normal historical pattern?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. John, I think we'll see some fluctuations by quarter. As to your point, right, there were some fluctuations last year where the first two quarters were somewhat impacted by the impact of COVID, and then the back half of 2020, we saw significant growth in spend which may create a challenging comparator in the second half of the year. But overall, we think the trends are very positive.

What we saw historically pre-COVID was we generally see revenue per visit up 5% to 6%. Post-COVID we saw that in more of the 10% to 13% range. So we expect that over time it'll normalize somewhere in between, as we've seen increased adoptions, the increase of that pet owner to pet bond and increasing standards of care as well with us and some of our competitors bring significant innovation to the marketplace as well.

So, we wouldn't expect it to remain at this 10% to 13% level, but we wouldn't expect it to revert back to the 5% to 6% level either, probably it'd be somewhere in between there, as new innovation and increased use of diagnostics in other areas continues to drive spend per visit.

John Kreger
Analyst, William Blair & Co. LLC

Q

How about pet adoption and pet population numbers? I mean a perception that I hear a lot is there's just COVID puppies all over the place, but we've really heard from other people that that's not the way biology works and it's very difficult for breeders to really get more pets out into the market even if they wanted to. Do you have a sense about whether or not we have kind of a sustainably higher number of pets out there or is it again this is more, I'm spending more on my dog because she's sitting right next to me all day long?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. To your point, it's a number of different factors. A, you've heard in the news and we've seen it in terms of shelters being empty and adoptions increasing from shelters, which is great to have those pets have a home and a family to be part of. But to your point, also breeders, obviously, there is a timeframe in terms of which they can increase the availability of pets, right. And to your point, that doesn't happen overnight, but also that the pet/pet owner bond and people spending more time with their pets and spending more on their pets. So, we've seen a number of different factors drive that increased pet adoption and pet ownership, which we think has been benefiting the industry.

And as I stepped into my new role in international speaking with many of our country managers globally, while the data is somewhat limited in some of the markets, that trend, we definitely do believe, is a global trend. And the other dynamic is not just new families getting their first pet, it's also many families who already have a pet, expanding the number of pets in their family which we also think helps contribute to the increased spend per visit as well.

So, we think there are very good dynamics for that overall in terms of pet ownership as well as spending per visit that will continue to drive additional growth in companion animal and be a strong underlying factor for us moving forward.

John Kreger
Analyst, William Blair & Co. LLC

Q

Okay. Great. Let's pivot to Trio. I've noticed more commercials of late talking about the product. When Trio was coming to market, the thought was you were going to get more compliance if you could sort of bundle those two product classes together. Have you actually seen that? Have you seen sort of market expansion post-launch?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. So, we're certainly seeing a bit of market expansion post-launch. In terms of the compliance data, it's a little early on to really have true visibility. We've been on the market just about a year at this point. So, we'll get additional data on that as we evolve, but we've seen really good adoption of Trio in the marketplace and a really positive response to Trio.

When you look at the performance that we had for our Simparica franchise last year, generating over $400 million in sales and we expect that to grow significantly this year and we saw the franchise grow over 130% in the first quarter and it's really a tremendous job by our commercial team across the globe to launch that product, particularly launching during the impact of the pandemic.

And what we saw initially is we weren't able to achieve our penetration goals in Q2 and Q3, but we did see that catch up at the end of the year. So, we were able to actually exceed our goals for the year, but equally important is the share that we had in those clinics that adopted was beyond our expectations and we see very strong reorder rates as well. So, seeing very good trends for Trio. We do believe that it was an unmet need in the marketplace for the triple combination product and we would expect, over time, that the compliance around it will be beneficial as well.

John Kreger
Analyst, William Blair & Co. LLC

Q

What do you think your parasiticide market share is now compared to, let's say, three years ago?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

It's significantly higher than it was three years ago. It's hard to get exact global data on that. But when you look at what we've been able to accomplish with the franchise, and we speak a lot about Simparica Trio, but it extends well beyond that, obviously the growth that we've continued to see in Simparica which has been beyond our expectations, we did expect there to be cannibalization of Simparica. And we've seen some of that in the US but less than what we initially thought, but we've seen significant growth of Simparica outside of the US.

Then, you take it to our ProHeart franchise with the introduction of ProHeart 12 and the continued growth that we experience there and then REVOLUTION and our REVOLUTION PLUS franchise performing very well. There was initially some concern with REVOLUTION and generic competition, but we're able to transition significantly to REVOLUTION PLUS with a focus on lifecycle enhancements really providing significant benefit on REVOLUTION PLUS and the overall franchise for parasiticides growing significantly over the last number of years and really poised for significant future growth as well.

John Kreger
Analyst, William Blair & Co. LLC

Q

Great. Okay. Let's shift now to the dermatology portfolio. A lot of people were thinking that was going to mature about $500 million in sales ago.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yes.

John Kreger
Analyst, William Blair & Co. LLC

Q

Now that it's up over $1 billion, should we be thinking this is reaching maturity or do you think there's still some good growth opportunity left?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

We think there's good growth opportunity left for the derm portfolio, and we continue to see rapid growth in it. It grew over 20% last year, 24% growth that we saw this quarter, and there are a number of areas that we still see opportunity for growth in the derm franchise. So from the US perspective, still there's opportunity in terms of many dogs with atopic dermatitis remain untreated. About 40% of medicalized dogs with atopic dermatitis remain untreated. Also about two-thirds of new patient starts start on products other than ours. So we think there's opportunity to increase the use of our products as first-line therapy in the US as well.

And then when you look outside of the US, currently, the mix globally for sales for our dermatitis franchise is about two-thirds US, one-third international. Yet the number of medicalized dogs with atopic dermatitis is actually greater outside of the US. And in my new role, that's going to be a significant area of focus as well to try to drive that growth and put additional promotional efforts to drive that growth.

So we see opportunities for growth both in the US, international as well, and then also with our focus on life cycle enhancements as well from a dermatology perspective extending into other species as well and continuing from a life cycle enhancement perspective. So we're very excited about the derma portfolio. As we've mentioned, we expect it to exceed $1 billion in sales this year. And we do see opportunity for continued growth. Obviously, one of the things we've mentioned is the expectation that competition will come at some point. But we think we certainly have a leadership position in this area.

John Kreger
Analyst, William Blair & Co. LLC

Q

Got it. Okay. Let's shift to diagnostics now. I think most investors would say it's been a little underwhelming since the purchase of Abaxis, but it seems like in the last couple of quarters you've had much better performance. What do you think the key difference has been to allow for better performance of late?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. There are a number of things that have helped drive that performance. In the first quarter of 2020, we're able to fully integrate our diagnostics portfolio and our core systems which really then allowed us to provide one face to the customer and one product offering. And you don't really implement a lot of the plans that we had talked about in leveraging the breadth of our portfolio with our customers.

The other thing that we're able to accomplish was a significant increase in bidirectional connectivity to many of the patient information management systems, which is an area that we lagged in the past, and we've made significant progress on that in 2020.

The other area was innovation. So we were able to bring some new innovation to the marketplace as well at the end of 2020 with the launch of our Vetscan Imagyst product, which really brings AI technology to fecal testing, making fecal testing a lot simpler for our customers and we think that's an area that we'll be able to expand and also to extend in areas beyond fecal testing.

Also with the impact of the pandemic obviously was challenging with not having face to face interactions which makes doing new installations particularly challenging. And as we recover from the pandemic, we think that will also help accelerate our growth. So we're really excited about, like you said, the last few quarters where we've had significant growth, off to a really good start in the first quarter. And we do expect our diagnostics business to outpace the market in 2021.

John Kreger
Analyst, William Blair & Co. LLC

Q

We got a question from the audience asking specifically about what your plan is internationally for the diagnostics business and will the tactics be meaningfully different from what you've done in the US.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

So I wouldn't say that the tactics will be meaningfully different in terms of really leveraging the broad portfolio. But we're in a different competitive position internationally. We think there's more room for growth internationally as diagnostics isn't used as frequently in many markets outside of the US as it is in the US.

And we're also able to leverage our commercial presence in the US and gain share more – outside of the US and gain share more rapidly, whereas in the US we know that our largest competitor has significant share in the US, and we need to win by gaining share. Outside of the US, we do think there's more opportunity to grow the market, leverage our presence that we have globally with our companion animal field force, build on that by having diagnostic specialists as well in the markets and driving additional growth.

John Kreger
Analyst, William Blair & Co. LLC

Q

Got it. And I think you just touched on it a little bit, but specifically, where do you think you've got the best differentiation relative to IDEXX? Is it sort of in non-US markets?

Glenn C. David

Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

So, I think it's in a number of areas. A, I think it's the breadth of our portfolio and being able to leverage that breadth. It's driving innovation with areas like we said with Vetscan Imagyst and continuing to invest to drive innovation. It's a focus on customer experience and being easy to do business with is another area that we think we can distinguish ourselves. And then, it's the strength of our field force and the relationships that we've been able to establish with veterinarians based on the strength and the breadth of our portfolio and the capabilities of our field force as well.

John Kreger

Analyst, William Blair & Co. LLC

Q

Got it. Sounds good. Okay. How about a broader question on innovation? You guys have had great new product flow since the spin. Where do you see the biggest areas of unmet need that you want to go after over the next, let's say, five years?

Glenn C. David

Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yeah. So, obviously, we said we generally don't comment too much on our R&D pipeline for competitive reasons, but there are a number of areas that, from an innovation perspective, we're very excited about. Obviously, OA pain is one key area of innovation across the broader portfolio that we're very excited about, very excited about the launches of Librela and Solensia. Also excited about our monoclonal antibody capabilities and our ability to extend that to other species and disease states as well.

We've been the first to market with monoclonal antibodies in dermatology. We're the first to market with monoclonal antibodies in pain. And we think we have significant capabilities there ahead of our competition that we think we'll be able to bring that to other categories as well.

Immunotherapy in livestock is another area of focus, vector vaccines as well as in the more medium to long-term solution for African swine fever in China as well. So, a number of areas that we're focused on from an innovation perspective, diagnostics as well, as we mentioned, by extending the Vetscan Imagyst platform, but, overall, a lot of areas. We don't get into specifics too much though from a competitor perspective.

John Kreger

Analyst, William Blair & Co. LLC

Q

In diagnostics, should we be thinking about your efforts also in livestock or primarily in companion in terms of new product flow?

Glenn C. David

Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

I think in the shorter term, you'll see more in companion animal. But as we mentioned when we did the acquisition, we did see opportunities in livestock. Obviously, we needed to start that from scratch as we acquired Abaxis. So, I think you'll see those in a more medium to longer term. But you'll see a combination of both companion animal and livestock.

John Kreger

Analyst, William Blair & Co. LLC

Q

Got it. Okay. And you mentioned the ASF vaccine. Is that something that could be feasible in a few years or is this really a multiyear effort?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

It's a multiyear effort. ASF is a very complicated disease and it will be over a multiyear period that we would be able to bring that solution. That being said, we're really pleased with the way we've been performing in China in our swine business. And because of the impact of ASF, we've really seen a shift from backyard farms to larger producers. And that really benefits our business as it's the larger producers that use more of the multinational products. And we have very good relationships with those producers and very good field force presence there as well. And that's really rapidly increased our growth in China, particularly in swine.

John Kreger
Analyst, William Blair & Co. LLC

Q

Got it. Okay. Another question we got from the audience, this is going back to the parasiticide category. Some of the tracking services have showed a year-over-year decline, a pretty significant one in flea/tick in May, again given I think some of the early stocking a year ago. Are you seeing that in the market? Have you seen anything like this in your own parasiticide business?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

No. We're not seeing that within our [ph] parasite (00:25:19) business. So, we run a very disciplined business from a stocking perspective in monitoring the amount of inventory that our distributors carry. Obviously, in advance of certain seasons, they'll carry more parasiticides, but again, that's something that we monitor very closely and plan for. And we try to make sure that, overall, our distributors generally carry [ph] for our products (00:25:41) four to six weeks of product into something that we manage very closely.

John Kreger
Analyst, William Blair & Co. LLC

Q

Got it. Okay. We've got about 3 minutes left. I want to circle back and hit a couple of topics in livestock. Maybe, first, a broad one, how do you guys view the long-term growth opportunity in livestock – and Juan Ramón used to talk about this consistently come in the mid-single digits. Do you still think it's that type of – and I'm talking market, I'm not just talking Zoetis – do you think the livestock market is really a mid-single digit grower?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Yes. When we look at the livestock market, to your point, we've always seen it in that middle-digit range. Probably low to mid-single digits is where we see that growth in the long term. Obviously, over the last two years, the market has been hit by some unusual events with African swine fever in China in 2019 and then COVID in 2020. But it's a very diverse market by geography. And, right, we see strong differences across many markets. So we would expect the livestock market to grow very rapidly in markets like China, Brazil, Mexico, right? We see very positive growth there, also areas such as aquaculture where we would expect to outpace the market growth as well as you know, that's a very rapid-growing species from an animal health perspective.

And then in some of the more established markets, the growth rates will probably be slower and the market will experience some impacts from generics as well, obviously, for us with Draxxin. But there'll be other generic impacts in the marketplace as well. So there'll be some rapid-growing areas. There'll be some less rapidly-growing areas. But net-net, we do expect somewhere in the low/mid-single digit growth over the long term for livestock.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

Got it. Okay. And then you mentioned Draxxin. I wanted to ask you about that. How is that product doing as it faces early generic competition, kind of better or worse than you guys were thinking a year ago?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

So, the performance in the first quarter in particular was definitely better than we initially expected. We saw 6% growth overall in Draxxin in Q1 and that was really driven by the fact that the timing of generic entrants occurred later in the quarter than we initially expected. We still expect a 20% to 40% impact to revenue for Draxxin. We typically see with generic competition that that occurs over a three to five-year period. It'll probably occur more rapidly with Draxxin based on the size and scale of the product as well as the number of competitor entrants that we know are in the marketplace. So, the first quarter was obviously better than we expected. We expect the year to be relatively in line with our expectations, but benefiting from the strength of the first quarter.

John Kreger
Analyst, William Blair & Co. LLC

Q

Okay. And then maybe last question as you sort of hand the reins to Wetteny in terms of the CFO role, what are you guys thinking about capital deployment priorities and is there any shift from where you've been over the last couple of years?

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

A

No. We don't really see a shift in our capital deployment priorities. Obviously, first remains investing in the internal business in areas in R&D where we see incredible productivity. In areas such as manufacturing, you're seeing continued growth in our CapEx to support the strong revenue growth that we're seeing and also from an advertising and promotional expense perspective to support growth of our key brands in areas such as DTC as well as field force expansions where warranted based on the strength of the overall portfolio.

We'll then also look to do business development opportunities in areas that are complementary to our core business and continue to pursue those. Based on our competitive position, we don't expect those to be of significant scale. And then we'll return excess capital to our shareholders. We continue to grow our dividend at or faster than our growth in adjusted net income. And we reinstated our share repurchase in Q1 as well and expect that to continue to be a meaningful portion of our capital allocation priority and returning excess capital to our shareholders.

John Kreger
Analyst, William Blair & Co. LLC

All right. Glenn, let's cut it off there.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Great.

John Kreger
Analyst, William Blair & Co. LLC

Thanks again for your time and best of luck in the new role.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Yeah. Thanks so much, John. Appreciate it.

John Kreger
Analyst, William Blair & Co. LLC

Okay. Thank you.

Glenn C. David
Executive Vice President & Group President-International Operations, Aquaculture, BioDevices & Pet Insurance, Zoetis, Inc.

Take care.